

Commonwealth of Massachusetts



Supporting a Commonwealth of Communities

MASSACHUSETTS ASSOCIATION OF ASSESSING OFFICERS

Municipal Law Presentation: DLS Law

June 26, 2024



Announcement

As a complement to the Bureau's Attorney of the Day service, local officials can utilize a Zoom link every Wednesday between 10:00 AM and 12:00 PM to speak directly with the Bureau's legal counsel, primarily the Bureau Chief. Local officials only need to [click the button on the DLS website](#) and will then be placed in a waiting room and addressed in the order of arrival.

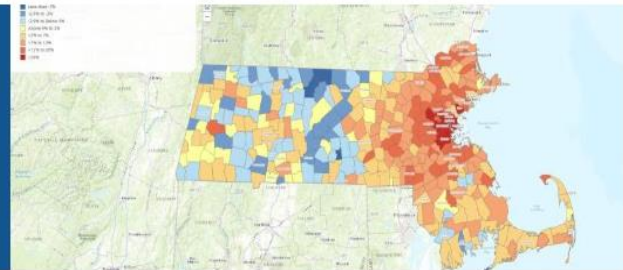




Announcement: Forms Project

Municipal Finance Legal Guidance

Provided by Bureau of Municipal Finance Law (BMFL)



DLS aims to create one centralized location for all forms that local finance officials may need in the performance of your statutorily imposed obligations.

DLS will continue to update this page with revised or additional forms that are requested by local officials. Please email dslaw@dor.state.ma.us with any requests.



Announcement: “What’s New” in Municipal Law Conference 2024



Supporting a Commonwealth of Communities

“What’s New in Municipal Law” 2024

The Division of Local Services legal staff will offer its annual seminar "What's New in Municipal Law" for local officials on Monday, September 23, 2024 at Bentley University Conference Center in Waltham and Thursday, September 26, 2024 at the Log Cabin Banquet & Meeting House in Holyoke. The seminars will be held in person. Virtual option Thursday October 10, 2024.



Chapter 50 of the Acts of 2023

- An Act to Improve the Commonwealth's Competitiveness, Affordability, and Equity
 - §§ 2 & 3
 - › Section 2 Amends G.L. c. 59, § 5K
 - » Increases the possible senior work off abatement program amount from \$1,500 to \$2,000
 - › Section 3 Adds New Section 50 to G.L. c. 59
 - » Creates a new local option exemption
 - » Applies to unit owners who rent out units at an affordable rate to income qualifying persons
 - » The amount of the exemption will be determined locally and prorated to the square footage of the housing units rented and occupied by qualifying persons
 - » [IGR-2024-4](#)



Announcement: New/Recent Publications

1. [IGR-2024-1](#) Reimbursement of Property Tax and Motor Vehicle Excise Exemptions
2. [IGR-2024-4](#) Affordable Housing Property Tax Exemption
3. DLS City and Town Articles:
 1. [June 6, 2024 Ask DLS: Pro Rata and Pro Forma Assessments](#)
 2. [May 2nd, 2024 Ask DLS: Motor Vehicle Excise Exemptions for Veterans and Military Personnel](#)
 3. [January 4, 2024 Ask DLS: Subsequent Owners](#)



PROPOSED Legislation To Watch

- An Act Honoring, Empowering and Recognizing Our Servicemembers and Veterans (HERO Act)
 - Increases Local Flexibility for Veterans Property Tax Exemptions
 - › Creates two separate local options. The first allows municipalities to double the veteran property tax exemption without doubling all other exemption clauses. The second increases the amount of Clause 22 exemptions by the increase in the Consumer Price Index.
 - House Version: Provision changing MAB standard
 - Senate Version: Increase veteran work off to \$2,000
- Affordable Homes Act
 - Local Option Transfer Fee: Allows municipalities and regional affordable housing commissions to adopt a transfer fee of 0.5% - 2.0%, paid by the seller of real property on the portion of sale proceeds over \$1M or the county median home sales price, whichever is greater (adjusted for inflation). Revenue from this fee must be used for affordable housing purposes.



Proposed 2024 Municipal Empowerment Act

- Elderly Exemptions - Provides municipalities with the option to increase Clause 41C elderly tax exemption to any amount
- Domicile Owned by a Trustee, Conservator or Other Fiduciary - New local option to allow individuals whose domiciles are held by a trustee, conservator or other fiduciary for their benefit to be treated as the owners of their domiciles so that they may be granted a personal exemption that they otherwise would qualify for
- Senior Means Tested Exemption - New local option exemption for qualifying income-eligible seniors for the property taxes assessed on their domiciles - the exemption works like the residential exemption by shifting the exempted taxes to other residential taxpayers in the town
- Surviving Minor Child of Firefighters and Police Officers Exemption -This section allows ownership criteria to be satisfied when a surviving minor is the only beneficiary



Proposed 2024 Municipal Empowerment Act

- **8 of 58 Paid Tax** - This section eliminates the requirement that a paid tax be the result of an obvious clerical error (would still be limited to the last 3 fiscal years). This limitation currently prevents DLS from authorizing abatements in scenarios where a taxpayer would otherwise qualify.
- **Regional Board of Assessors** - This section allows multiple communities to implement a Regional Board of Assessors. This eliminates the necessity of each town having a local board and aims to streamline the duties imposed upon such officials while reducing challenges communities have in filling vacancies.
- **Manufacturing/Research & Development Decisions** – This section allows assessors to abate personal property taxes, or assess additional taxes, to put into effect a final decision about the classification of a corporation as a manufacturing (M) or research and development (R&D) corporation.



Proposed 2024 Municipal Empowerment Act

- COLA for Property Tax Exemptions – This local option statute allows municipalities to increase property tax “clause exemptions” by an amount equal to the cost of living.
- Central Valuation of Telecommunication and Utility Personal Property – These sections centralize the valuation of telecommunication company personal property and utility company personal property in the Department of Revenue’s Division of Local Services (DLS) to promote consistency in assessing and utility reporting throughout the Commonwealth. Extending central valuation to all telecom companies and to utility companies would result in a more efficient and cost-effective process for both municipalities and industry.



Proposed 2024 Municipal Empowerment Act

- Local Option Taxes 1 – This section establishes a new local option Motor Vehicle Excise (MVE) surcharge of 5%.
- Equalizing Property Tax Appeals – This section requires all property taxpayers to pay in full to appeal. Currently, personal property taxpayers, such as utilities, need only pay half of the tax bill to preserve their right to appeal while residents and commercial taxpayers are required to pay in full.
- Reporting and Tax Treatment of Solar PILOTS – This section inserts language found in G.L. c. 59, § 39H(b) to G.L. c. 59, § 5 Clause 45 so that any receipts derived from solar or wind PILOTS are considered part of the tax levy and constitute new growth within the community.



MVE Recent Case and Possible Change

1. Finlayson v. Board of Assessors of Billerica ATB 2024-33 (February 20, 2024)
 - Appellant disabled veteran seeks abatement of MVE for two vehicles, claiming that he was entitled to a G.L. c. 60A, § 1 exemption for FY's 19 & 20.
 - Appellant submitted letter from USDVA to the Board, dated 10/18/18, that he is permanently disabled due to service-connected injuries.
 - Board countered that it had not receive documentation from RMV MAB for FY's 19 & 20.
 - ATB held that, despite Board's lack of MAB approval, abatements were warranted due to USDVA's determination of total disability.
 - Appellant allowed abatement for one vehicle.



Any Questions?